Cambridge (CIE) A Level Business

Your notes

Analysing Published Accounts (A Level)

Contents

- Investment Ratios

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The meaning and importance of return to investors

- A **financial return** is the **money made or lost on an investment** over a period of time
- **Shareholders** - and potential shareholders - look for **financial returns** on investments in the form of
  - Increased **share price**
  - Increased **dividends**
- A series of ratios can be used to determine whether an initial or ongoing **investment in a company is worthwhile**
  - **Poor investment performance** can cause **shareholder discontent**, which may lead to changes to the **board of directors** at the **AGM**

The main investment ratios

Dividend yield	Dividend cover	Price/earnings ratio
▪ How much a company pays out in dividends each year relative to its share price	▪ How well profits cover the dividend paid to shareholders	▪ A measure of confidence investors have in a company's ability to generate future returns

- Financial advisors and the media are also interested in these ratios, as they can be used to report on **business performance**

Dividend yield

- The **dividend yield** ratio shows how much a company **pays out in dividends each year relative to its share price**
- It is used to **compare investments** in a company
  - With other investments, such as bank interest rates and dividend yields of other investments
  - Over time to analyse long-term performance of investments
- Dividend yield is calculated using the formula

$$\text{Dividend yield} = \frac{\text{Dividend per share}}{\text{Market share price}} \times 100$$

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Worked Example

Cymball Industries Plc issued shareholders a dividend per share of $0.87 in December 2023. Its share price at this time was $17.40

Calculate the dividend yield achieved by investors in Cymball Industries Plc in December 2023.

(2)

Step 1: Divide the dividend per share by the market share price

$$= \$0.87 \div \$17.40$$ (1)

$$= 0.05$$

Step 2: Multiply the outcome by 100 and express as a percentage

$$= 0.05 \times 100$$ (1)

$$= 5.00\%$$

- Dividend yield is determined by the **level of dividend** issued by a company and the **current market price of shares** in the company
  - In general terms, **the higher the dividend yield, the better**
    - If the **share price increases**, the **dividend yield will fall**
    - Despite this, investors may be **keen to invest**, as the rising share price **indicates positive company performance**
    - If the **issued dividend increases**, the **dividend yield will rise**
  - However, a **high dividend yield can occur as a result of a fall in the share price** as a result of poor business performance
    - In these circumstances, an **investment may be less attractive**

Dividend cover

- **Dividend cover** is a measure of **how well profits cover the dividend paid to shareholders**
  - The ratio shows how easy it is for a company to continue to pay out its current dividend, given the profit it has generated
  - The outcome of the ratio refers to the **number of times** profit covers the total value of dividends issued
- The ratio can be used to assess the current and future **sustainability of the dividends paid out** by a company
  - A **high ratio** suggests that a company **can maintain its current dividend** payments

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    - Shareholders may **retain** their shares as they are likely to continue to receive the dividend to which they have become accustomed
  - A **low ratio** may suggest that **future dividend payments are unlikely to be paid at their current level**
    - Shareholders may choose to **divest** their shares and switch to more stable investments
  - In general, a **dividend cover of 2 is viewed as good**, as this indicates that a company has the capacity to pay its dividends twice over
- A high ratio **does not guarantee** a sustained dividend
  - Companies can choose to **retain profits** rather than issue a dividend to shareholders
- Dividend cover is calculated using the formula

$$\text{Dividend cover} = \frac{\text{Profit for the year}}{\text{Annual dividend}}$$

Worked Example

Cymball Industries Plc issued its shareholders a total dividend of $915,500 in December 2023. Its profit for the year was $5.9 million.

Calculate Cymball Industries Plc's dividend cover in December 2023.

(2)

Step 1: Divide profit for the year by the annual dividend

$$= \$5.9 \text{ million} \div \$915,500 \quad \textbf{(1)}$$

$$= 6.44$$

Step 2: Express the outcome as a ratio

- In December 2023, Cymball Industries Plc's dividend yield was 6.44 : 1.
- This means it could cover its dividends with profits 6.44 times. **(1)**

Price/earnings ratio

- The **price/earnings** ratio is a measure of **confidence** investors have in a company's ability to generate future returns
  - It compares the **earning made per share** during a specific time period to the **current share price**
  - Investors use this ratio to determine **how many years** it would take to buy one company share with the earnings (profit) generated per share
- Generally, the **higher the price/earnings ratio, the better**

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- A **high ratio** suggests that investors are confident enough to **invest for a long period of time**
- **Comparisons** between the price/earnings ratio should focus on those in the **same industry,** as investors are likely to have different levels of confidence in diverse industries
  - E.g. Confidence in the growth of AI-based businesses is likely to be considerably higher amongst investors than in the construction industry
- **Price/earnings ratio** is calculated using the formula

$$\text{Price / Earnings ratio} = \frac{\text{Market share price}}{\text{Earnings per share}}$$

- If the **earnings per share** is not given, it is calculated using the formula

$$\text{Earnings per share} = \frac{\text{Profit for the year}}{\text{Number of issued shares}}$$

Worked Example

Cymball Industries Plc reported profit for the year of $5.9 million in December 2023 and issued a dividend of $0.87 for each of its 1,052,300 shares. Its share price ended the year at $13.66.

Calculate Cymball Industries Plc's dividend cover in December 2023.

(2)

Step 1: Calculate earnings per share

$$\text{Earnings per share} = \frac{\text{Profit for the year}}{\text{Number of issued shares}}$$

$$= \frac{\$5.9 \text{ million}}{1{,}052{,}300 \text{ shares}} \quad (1)$$

$$= \$5.61$$

Step 2: Divide the market share price by earnings per share

$$= \frac{\$13.66}{\$5.61} \quad (1)$$

$$= 2.43$$

Methods of improving investor return

- In general, investor returns can be improved by **increasing business profits**

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- Higher profits allow companies to **distribute greater dividends**, increasing the **dividend yield** and **dividend cover**
- The **share price** of a business is likely to increase if its **profits grow**, leading to a higher **price/earnings ratio**

- However, care should be taken to interpret the reasons for improvements in investment ratios
  - The **dividend yield can increase** if a company experiences a **fall in its share price**
    - A falling share price often indicates **lower shareholder confidence**, so this is unlikely to be welcomed
  - **Dividend cover can rise** if a company pays a **lower dividend** to shareholders
    - This may be as a result of a company using **retained profits** as a source of finance to fund growth
    - For **short-term investors**, however, this is also unlikely to be welcomed

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